

Recommendations – For NovaBank's CCO

R1. Improve Customer Activation (Priority: High)

Problem:

54.4% of customers never transact after signup.

Recommendation:

Launch first-transaction incentives (UPI cashback, debit card rewards) to encourage activity within the first 30 days.

Expected Impact:

Higher Month 0 activation and improved long-term retention.

R2. Reduce Transaction Failures (Priority: High)

Problem:

16.5% failure rate vs 2–3% industry benchmark.

Recommendation:

Audit payment systems and prioritize UPI/debit-card failure reduction.

Expected Impact:

Better customer experience and stronger retention.

R3. Increase Product Engagement (Priority: Medium)

Problem:

Customer's RFM Score is less.

Recommendation:

Introduce cashback campaigns, recurring bill auto-pay, and engagement nudges to increase transaction frequency.

Expected Impact:

It will improve the recency and frequency of transactions plus for cashback and discount which will be based on transaction's value they will do there big payments via NovaBank

R4. Cross-Sell to Salaried Customers (Priority: Medium)

Observation:

Many customers are salaried employees

Recommendation:

Offer pre-approved loan products to customers with stable salary credits.

Expected Impact:

Many salaried employees need loans, thus by offering them loans we can keep them engaged as well as make revenue from interest

R5. Protect High Value Customers (Priority: High)**Problem:**

There are only 18 high value customers, if they churn it will be a big loss for bank

Recommendation:

Provide premium servicing for the 18 highest-value customers.

Expected Impact:

They will be retained successfully in the business